GMS WEEKLY

Your Source for Recycling News

February 14th, 2025
Week 7
Volume 269, Issue 1172

Highlights:

- **Market uncertainty.**
- **25 percent tariffs.**
- **Cheap Chinese.**
- **Price fall.**
- **Tonnge lull.**
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QUOTE of the WEEK

"It's a good place when all you have is hope and not expectations."

– Danny Boyle

-- MARKET COMMENTARY --

TIT FOR TAT TARIFFS & TANTRUMS!

Compounding market uncertainties took center stage with Pres. Trump's uncalculated tariff wars sending economies rocking this week, unintentionally targeting the U.S. Dollar as the beneficiary to a crisis that is still unfolding, sending it into a tizzy as it declined against nearly all of the major ship recycling destinations, except? You guessed it, Turkey, where it plummeted nearly 0.5% this week, creating an all-time record low. While some of the executed tariffs have taken affect and others are reportedly still in the works, this limbo of a global inflationary explosion that's seemly lying in wait has even seen oil prices temper further this week, with the barrel falling further on the news that a Trump / Zelenskiy and even Trump / Putin meeting to end the Ukraine war, remains in the works. This saw oil end the week at USD 70.7/barrel as charter rates reflected the unfolding present with the Baltic Index Dry Index reporting another drop early in the week, only to end it a shade higher. None of which, has tempered the supply of tonnage for the ship recycling markets as units remain in play and anchorages earmarked fresh arrival(s) this week as well.

Through it all, the knock-on effects of the tit-for-tat trade wars have certainly been felt across the ship recycling markets as well – perennially in India, where despite PM Modi being in America to visit Pres. Trump and ensure no tariffs were in the works to affect India and ensure the smooth and ongoing cooperation between the nations, the 25% tariffs announced on Chinese steel & aluminum products is already seeing destabilizing effects on the recycling markets, and it remains unsure as to where much of this surplus / excess and resultingly cheaper steel will end up, devastating ship recycling prices as a result of.

Speaking of prices, downward pressure on tabled levels has remained unrelenting since the start of the year and the ongoing and intolerable performances of key fundamentals has continued to push levels down ever since USD 600/Ton was achieved back in January 2024. Flatlining steel plate prices across the board including declining levels from India that have fallen in excess of USD 11/Ton over the course of 2 weeks alone, has done little for prevailing offerings. In fact, over the course of last year, both India and Pakistan were rigorously subjected to the import of cheaper Chinese steel imports that kept undercutting local inventories, resulting in sub-continent steel markets collapsing. Although new duties by both governments to curb the ill effects of this cheaper steel via anti-dumping tariffs were introduced, there remains a great deal of nervousness as to how these latest rounds of tit-for-tat tariffs will end up hitting the ship recycling industry.

As recycling markets have deteriorated by nearly USD 30/LDT over the course of this year already, a drop that looks determined to increase, it has been an unexpectedly gloomier picture for the first 7 weeks of 2025 despite the bullish start to the year that saw numerous LNGs and at least ten Panamax bulkers from the Chinese / Far Eastern markets concluded for a recycling sale. As such, questionably interesting times lie ahead, all of which could see a landmark year for ship recycling, with yards still in the process of being upgraded to HKC standards in both Bangladesh and Pakistan, ahead of the HKC's entry into force post June 30th of this year, and Pakistan ending the week with its only delivery of the year.

GMS demo rankings / pricing for week 7 of 2025 are on Page 5.

BANGLADESH

Rocky raccoon!

Bagging big.

Of late, an increasing focus on larger LDT vessels coming out of the Far East has seen Bangladeshi recyclers book a healthy collection of decent-sized units since the start of the year – including an FSU, a Capesize bulker, and even several LNGs tankers that followed a decent number of arrivals at Chattogram's anchorage across recent weeks including this week, which registered a couple of fresh arrivals and a bevy of deliveries to their respective recyclers. Yet, the 'busy' anchorage hid the deceptive illusion of Chattogram's ship recycling sector that not all is well, even with the nation at large.

Misleading.

More aid?

At the macro end of things, the economy has spent another dull week with not much movement reported locally, amidst a political scenario that keeps on repeating in dialogue over reforms vs. early elections, in order to speed up a potential recovery. Yet, no apparent resolution on either stands in effect to this date and a specific direction for the nation at this time, remains uncertain. The general law and order situation in the country also remains turbulent given that the interim government remains unable to get a grip on unfolding events and riots (as reported last week) are still ongoing. Even despite Asia Development Bank (ADB) pledging USD 1 Billion in concessional aid to Bangladesh every year for the next 5 years, local economists are calling on the nation to brace for incoming headwinds on the news that the country registered the slowest economic growth as compared to the last 4. While this has previously seen the government curtail expenditures on foreign reserves towards non-critical sectors through 2023 and even 2024, given the unfolding economic crises, could be a foretelling of another financial crisis that is yet to potentially hit in Bangladesh's ship recycling sector the (near) future, especially in the face of a deadline extension from the Bangladeshi Ministry with when to begin yard infrastructure upgrades from the original January 31st cutoff date by the BSBRA, to March 31st, as work reportedly commences on yards who aim to be fully compliant with the Hong Kong Convention ahead of its entry into force by the end of June 2025 and recyclers face further cuts in financial aid.

Levels lower.

At the micro end, as inflation and ship recycling fundamentals remain extremely volatile, not only are local steel plate prices still flatlining, but the Taka made a surprising and desperately needed recovery of 31 basis point against the U.S. Dollar, ending the week at BDT 121.69. While domestic offerings for tonnage remain constricted as a result of previous declines on the Taka into the BDT 120s, sentiments continue on a downward trajectory as most of the aggressive and capable local recyclers are now booked with recent deliveries and the next batch of indications emanating are far below than those of recent fixtures, further pushing ship owners and cash buyers to chase down markets that are clearly in fall. As such, Bangladesh seems to be treading on rocky terrain with a momentary of binging of tonnage in the face of suppressed fundamentals and vessel pricing backed by geography and timing that have somewhat come together and insulate this market from the recent tariffs, even though the fear of the far-reaching effects of these potentially hitting Bangladesh, remains high. And lower recycling indications seen since the start of the year are now permanently snaking their way onto the bidding tables from the next tier of Chattogram Choppers.

NO MARKET SALES REPORTED

INDIA

DOOZIE!

Panic gripped India this week as the U.S. slapped 25% tariffs on Chinese steel & aluminum products – the unfolding fear of which is that, this surplus inventory (some of it already ready for export) is eventually going to make its way to the sub-continent markets where it will more than likely face price adjustments made to undercut sub-continent steel prices just so that Chinese steel owners can offload their excess inventories at increasingly loss making prices despite previously imposed and potentially further incoming punitive duties from the Indian government set to limit this crisis, has clearly done little thus far.

Fuelled by fear.

Whilst PM Modi was in the US to meet with President Trump this week in order to discuss this very issue amongst many others, in an attempt to layout potential damage control and aid India's economy (which is in recovery) amidst growing international pressures that are all but certain to affect sub-continent markets across 2025, as Alang itself struggles to maintain its levels through current times. The present-day worldwide economy is also already facing the domino effect of the tariffs as global steel including Chinese plate prices, continue to flatline at far lower levels than those of Indian steel prices this week. This has seen (and will likely continue to see) Indian steel prices decline in excess of USD 11/Ton over the last couple of weeks, seriously pressuring Alang ship recyclers to reconsider and lower their offerings for future tonnage coming out of the Red Sea, at noticeable lower levels.

Modi in US.

The currency has, however, strangely found stability this week as not only did it stall ongoing declines, but it also reversed recent losses by gaining about 1.2% against the U.S. Dollar and ending the week at Rs. 86.60. Although to the outsider, this may seem like a "win" of sorts, the truth is that the Rupee has lost nearly 5% over the last 4 Quarters and as a result, the ongoing decline in prices likely isn't going to immediately translate into a price jump just yet.

Currency woes.

And like Bangladesh, India is the only nation Eastward that is helping maintain a balance in the ongoing re-distribution of global tonnage for recycling as prices remain in the neck of the woods for units intended for an India / Pakistan re-delivery. Yet, given the ongoing price differentials with Pakistani Buyers after nearly 5 months who are still tabling a healthy collection of weak offers on a majority of their ongoing offerings, has helped India consume all but a single unit that has come available for a recycling sale basis both destinations as potentially final ones.

NO MARKET SALES REPORTED

PAKISTAN

NO TIME LIKE PRESENT…HOPEFULLY!

Finally converting.

After an altogether inert few years on the sidelines, some signs of life are finally emanating from the Gadani gang and on the back of their recent effort, a couple of sales have even materialized to local buyers albeit on comparatively smaller LDT tonnage, one of which was even delivered to her new recyclers this week, the **only** delivery into Pakistan thus far in 2025. And unlike the other markets, Gadani's anchorage has reported no further arrivals since. Notwithstanding, local offers remain not too far away behind their Indian counterparts, but sufficient enough to matter on the larger LDT units that have invariably headed further West to Alang, as Gadani recycling yards lie virtually dormant following such a prolonged period of inactivity.

Prices close.

But as welcome as this price aggression may seem, it remains a target too low for a majority of ship owners and cash buyers who are looking to offload tonnage as on the broader end of things for local recyclers, the Pakistani government is still struggling to maintain control of their unraveling economic affairs whilst the Pakistani army is essentially aiming to regain control of the government once again. Moreover, in the midst of a potential visit from IMF delegates to investigate corruption and governmental shortcomings in the nation, a turbulent time lies ahead for Pakistan's domestic ship recycling sector, which is entirely dependent on U.S. Dollar transactions for financial assistance from the central bank, which in itself has been hemorrhaging cash up wards of USD 440 million amidst reported mismanagement. With the incoming IMF team ready to investigate and further lay out a framework to wash out wasteful / unnecessary / potentially illegal access to funds to aid the nation's economy, how this will affect the nation's ship recycling industry and / or the ease of with which future access to funds / L/Cs becomes available, remains to be seen.

HKC hopes.

Fow now, on the back of a reported few private fixtures, we don't know how much more activity to expect at Gadani's anchorage as once these recent fixtures and eventual deliveries bottom out, like in Bangladesh, will have likely done its share in satisfying tonnage to tier 1 Gadani buyers and tier 2 of buyers is already and expectedly testing the market with lower offerings, hoping to snag a deal at a time most markets seem destined to be heading South, and more importantly, ship owners and cash buyers start to finally bite at these lower(ing) levels.

Upgrade work does need to begin in earnest in Gadani so as to get domestic ship recycling facilities up to HKC standards ahead of its entry into force in June of this year, and hopefully still remain relevant post July 1st once no non-HKC yard will be permitted to take in tonnage now that the convention has been officially ratified by the Pakistani Ministry. Thankfully, some yards seem to have realized that the hard work must start now in order to remain relevant, and news of some upgrades (in the works) being initiated has come forward.

Ship recycling post June 2025 is going to be a wild ride in Gadani.

NO MARKET SALES REPORTED

TURKEY

BRUNT!

Consistently South

The Turkish market seems to have borne the brunt of Trumps recent tariffs as not only did local steel plate prices report volatility again through the week, ending it marginally lower, but the Lira took the icing on the economy's melting cake as it declined nearly 0.5% against the U.S. Dollar, closing it out at TRY 36.10.

Yet, there was no other news (other than a few private discussions) taking place locally, with no news of fresh arrivals either.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 7 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Stable**	440 / LDT	460 / LDT	470 / LDT
2	India	**Stable**	435 / LDT	455 / LDT	465 / LDT
3	Pakistan	**Stable**	430 / LDT	450 / LDT	460 / LDT
4	Turkey	**Weak**	280 / LDT	290 / LDT	300 / LDT

ODD ONES.

- *Countries have been losing roughly nine million acres of tropical forest a year over the past two decades. These forests are crucial for storing planet-warming carbon and curbing biodiversity loss.*
- *As a rule of thumb, a $10 rise in the cost of a barrel of oil translates to a 24-cent rise in the cost of a gallon of gasoline.*
- *Betsy Ross is no longer credited as the creator of the American flag. Historians insist the maker of the flag remains unknown.*
- *In the South Korean province of Jeju, the haenyeo ("sea women") dive and swim in the depths of the ocean without any breathing gear, harvesting seafood like conch, urchin, and octopus, which they sell to support their families.*
- *Americans spent $147 billion on their pets in 2023, which includes the costs of veterinary care and over-the-counter medicine, according to the American Pet Products Association, an industry group.*
- *How long do crows hold a grudge? Based on his experiment, John Marzluff, a professor at the University of Washington in Seattle, estimates the birds remember those who have done them wrong for about 17 years.*
- *Indonesia is home to myriad tribes and cultures, and to more than 700 native languages. It is the most linguistically diverse nation in the world after neighboring Papua New Guinea.*
- *About 600 zombie movies have been released since 1920, more than half of them in the 21st century.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
February 26 – Maha Shivratri	February 26 – March 05 March 13 – March 18 March 27 – April 05

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
February 21 – Shahid Day February 26 – Independence & National Day	February 14 – February 17 February 28 – March 03 March 14 – March 17

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays until March	**No holidays until March**	**No holidays until March**

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ALANG - Port Position as of February 14, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Jabal Ali 7	7,128	RoRo	Arrived February 14
2	*RDS 1*	*1,816*	*Supply Vessel*	*Delivered February 13*
3	*Rem*	*29,017*	*LNG*	*Delivered February 14*
4	*Tai Fu No. 3*	*2,598*	*Reefer*	*Delivered February 14*
5	*Yeong*	*28,809*	*LNG*	*Delivered February 13*
Total Tonnage		**69,368**		

CHATTOGRAM - Port Position as of February, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	East Pioneer	10,891	Bulk Carrier	Arrived February 04
2	Ever Feng	1,745	Tanker	Arrived February 13
3	Generalis	3,311	General Cargo	Arrived February 12
4	*Golden O*	*10,664*	*Bulk Carrier*	*Delivered February 14*
5	*Lean*	*29,182*	*LNG Tanker*	*Delivered February 15*
6	*Ocean Peace*	*10,848*	*Bulk Carrier*	*Delivered February 13*
7	Three Star	7,627	Bulk Carrier	Arrived January 23
		74,268		

GADANI - Port Position as of February 14, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Leena*	*5,204*	*Bulk Carrier*	*Delivered February 12*
Total Tonnage		**5,204**		

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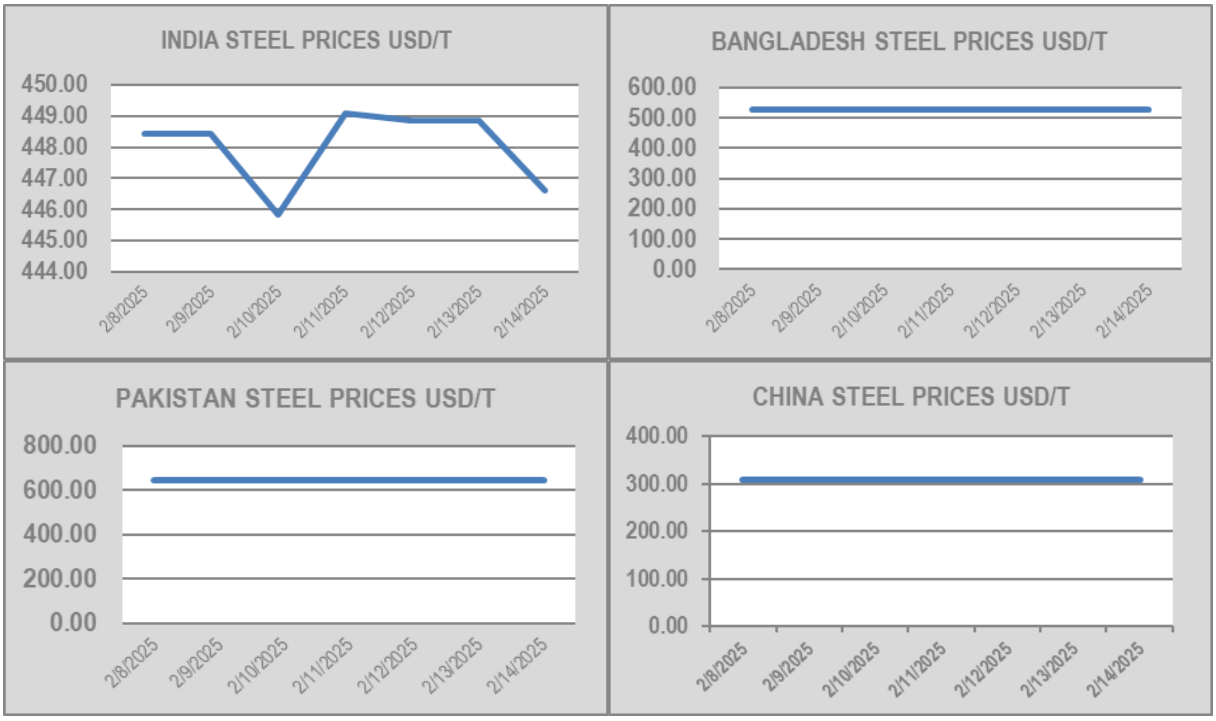
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
2/8/2025	448.41	39,200.00	643.78	180,000.00	529.41	63,000.00	308.13
2/9/2025	448.41	39,200.00	643.78	180,000.00	529.41	63,000.00	308.13
2/10/2025	445.82	39,000.00	643.78	180,000.00	529.41	63,000.00	308.13
2/11/2025	449.10	39,000.00	643.78	180,000.00	529.41	63,000.00	308.13
2/12/2025	448.84	39,000.00	643.78	180,000.00	529.41	63,000.00	308.13
2/13/2025	448.84	39,000.00	643.78	180,000.00	529.41	63,000.00	308.13
2/14/2025	446.59	38,800.00	643.78	180,000.00	529.41	63,000.00	308.13



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